Opinion and commentary were varied. Some said I would continue with Y.V. Reddy's hawkish monetary-policy stance, while others said that I would be more biased towards growth and would be of a more dovish disposition. Some said I would accelerate the financial market reforms laid out in the Percy Mistry, Deepak Parikh and Raghuram Rajan committee reports, and some others thought I would be more cautious in moving forward with reforms. Similarly, there was much speculation about my stance on exchange rate issues and balance of payments. There were questions about whether, as governor, I would fulfil my dharma of countering fiscal profligacy for which I was—some said—'at least partly responsible'. All of this amused me since this was at best informed speculation passing off as authoritative commentary. The biggest takeaway for me from all this was that there was a lot riding on the governor's policy stance and world view.

And there was advice aplenty, predictably from both ends of the ideological spectrum: slay inflation with all the policy force at the Reserve Bank's command vs recognize the paramount importance of supporting growth at a time of business-cycle downturn; leave the exchange rate to the dynamics of the market vs you can't afford to abandon the exchange rate to the vagaries of the market; open up the capital account with blitzkrieg reforms vs beware of the pitfalls of hasty capital-account liberalization; invite foreign banks with open arms vs keep in mind the sorry experience of other emerging markets which had embraced foreign banks prematurely; implement financial sector reforms with alacrity vs focus on the macroeconomy and let reforms wait.

There was the expected and predictable debate on the advisability of appointing civil servants as governors. Some thought that tried-and-tested civil servants can bring fresh thinking into what is considered to be an insular institution: an outsider like me would add value to the Reserve Bank and shake the institution out of its 'status quo'. The opposing view was that I did not have any central banking experience and this would be a handicap in providing leadership to the RBI.